AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Instacart (Maplebear)

22 October 2026 · the qualitative

$50.31

NASDAQ : CART · Mature-Company DCF

$12.11B mkt cap · 241M sh · $690M cash, zero debt · Net cash +$0.69B, no debt; ~241M shares held ~flat as a $3.5B buyback (~32% of the market cap) offsets SBC dilution; Revenue $3.74B FY25 (+11%); GAAP op margin 13.3% (12.3→17.9% latest quarter); reported FCF ~$0.9B (heavy SBC add-back); Up ~1% YTD, +24% TTM at ~$46; screens ~12x reported FCF, ~2.7x EV/sales

THE CENTRAL QUESTION

Does Instacart's high-margin advertising flywheel keep compounding on a $10B+ GTV base, or does the delivery field and a low take rate cap the marketplace?

Instacart trades at ~$11B (~$45.56, ~+1% YTD) — ~12x reported FCF and ~2.7x EV/sales on $3.74B revenue (+11%), net cash, GAAP operating margin scaling 12.3→17.9%. The engine is ~80%-margin advertising compounding on a $10B+ GTV base, with a $3.5B buyback (~32% of the cap) offsetting SBC dilution so shares stay flat. The DCF asks whether high-margin ad revenue keeps scaling against DoorDash/Uber/Amazon/Walmart and a ~7% take rate. The finding: even pricing the competitive bear (-35%), the modal flywheel lands +42%, on reported FCF discounted to ~15-19% ex-SBC owner margin.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +28.4% · 40% at or below spot

$65.05 expected fair value today

+29.3% vs spot $50.31

FORWARD COMPOUNDED VALUE

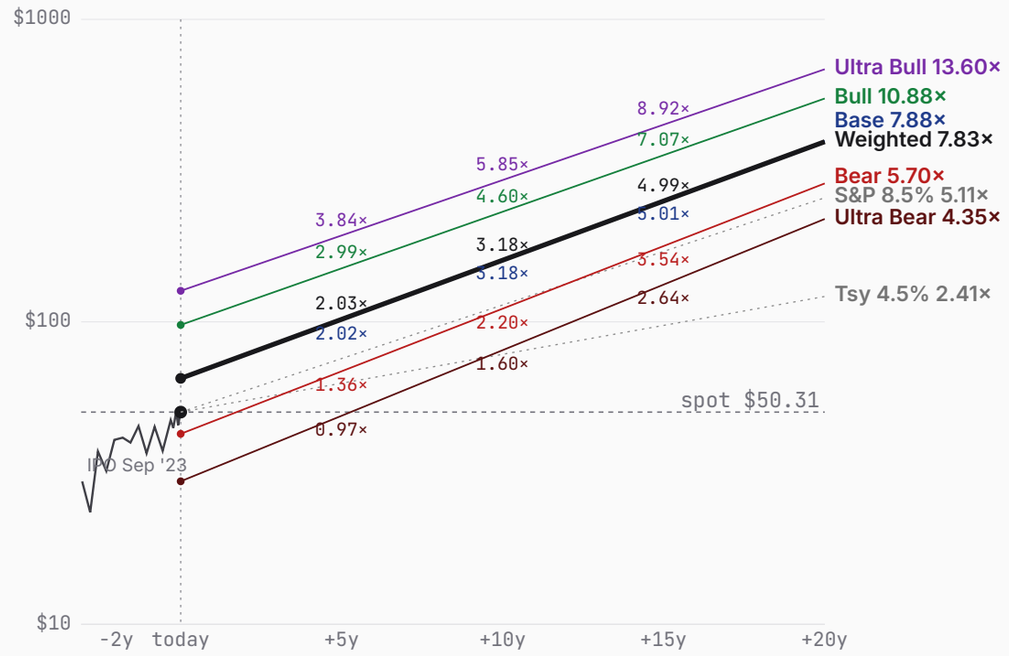
+5y	+10y	+15y	+20y
$101.97	$159.94	$250.98	$394.04
2.03× spot	3.18× spot	4.99× spot	7.83× spot

WEIGHTING RATIONALE

Ultra Bear 13% Ad growth stalls; delivery field wins; ~$29.71 (-35%).
Bear 27% GTV grows but take-rate caps upside; ~$42.64 (-6%).
Base 34% Ad flywheel scales; FCF margin to ~19%; ~$64.58 (+42%).
Bull 18% Retail-media platform; margin inflects; ~$97.69 (+114%).
Ultra Bull 8% Ad annuity compounds; FCF machine; ~$126.65 (+178%).

Bull (18%) + Ultra Bull (8%) together contribute $27.72 — 43% of the $65.05 expected value despite 26% combined probability. Today's spot ($50.31) sits 23% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $29.71

-40.9% vs spot

CAGR +2.8% WACC 10.5%
CAGR +2.8% Prob 13%

Ad growth stalls; delivery field wins.

BEAR — $42.64

-15.2% vs spot

CAGR +5.4% WACC 10.0%
CAGR +5.4% Prob 27%

GTV grows; ad take-rate caps the upside.

BASE — $64.58

+28.4% vs spot

CAGR +10.0% WACC 9.5%
CAGR +10.0% Prob 34%

Ad flywheel scales; FCF margin to ~19%.

BULL — $97.69

+94.2% vs spot

CAGR +12.8% WACC 9.0%
CAGR +12.8% Prob 18%

Retail-media platform; margin inflects.

ULTRA BULL — $126.65

+151.7% vs spot

CAGR +16.0% WACC 8.8%
CAGR +16.0% Prob 8%

Ad annuity compounds; FCF machine.

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AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Instacart (Maplebear) scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 27% Base 34% Bull 18% Ultra Bull 8% · Weighted expected $65.05 (+29.3% vs spot)

ULTRA BEAR $29.71

-40.9% vs spot

Probability 13%

Ad growth stalls; delivery field wins.

WHY 13%

The genuine bear: the FY ad guide of 11-14% is a sharp deceleration from the 27% (2023) / 34% (2022) era, the field is deep-pocketed, and orders trail GTV. 13% weight on the flywheel failing on a contested base.

WHAT HAPPENS

The competitive bear bites: DoorDash, Uber Eats, Amazon and Walmart pull GTV and the ~7% take rate compresses, while advertising growth fades from its decelerating guide toward low-single-digit. Orders are already trailing GTV (+10% vs +13%), signalling a maturing, low-frequency marketplace; the ~80%-margin ad flywheel stops scaling and operating margin stalls in the low-teens.

A marketplace whose high-margin engine stops compounding earns a low terminal multiple — DCF ~$29.71 (-35%). Net cash and the buyback set a floor but cannot offset a stalled flywheel.

BEAR $42.64

-15.2% vs spot

Probability 27%

GTV grows; ad take-rate caps the upside.

WHY 27%

Share holds but the guided ad deceleration plus take-rate pressure cap the re-rate. 27% as the plausible 'leads but doesn't compound' path, given the 11-14% ad guide and orders trailing GTV.

WHAT HAPPENS

GTV keeps growing low-to-mid-single-digit but advertising decelerates as guided and the take rate stays structurally low, so the margin flywheel turns slowly: revenue compounds ~5% to ~$4.7B at a mid-teens ex-SBC FCF margin. The category lead holds, but the deep competitive set and a ~7% take rate cap the marketplace economics.

DCF ~$42.64 (-6%) - roughly fair. A leader whose high-margin engine grinds rather than compounds is worth about today's price; the cheap multiple is warranted if advertising only decelerates.

BASE $64.58

+28.4% vs spot

Probability 34%

Ad flywheel scales; FCF margin to ~19%.

WHY 34%

Requires advertising to keep scaling (and modestly re-accelerate) on a growing GTV base while operating leverage continues - consistent with Q1's +16% ad growth and the 12.3→17.9% margin move, but ahead of the 11-14% guide. 34% as the central outcome.

WHAT HAPPENS

The modal path: GTV compounds low-double-digit off the first >$10B quarter, advertising re-accelerates above its conservative guide as enterprise (Carrot, Caper smart carts) and retail-media density build, and the ~80%-margin ad mix lifts operating margin from ~13% toward the mid-20s. Ex-SBC owner FCF margin grinds from ~15% toward ~19% while the $3.5B buyback offsets SBC dilution and shares stay flat. Revenue compounds ~10% to ~$5.7B.

DCF ~$64.58 (+42%) - the high-margin advertising engine compounding on a durable GTV base re-rates the franchise off ~12x reported FCF; the core of the thesis. The cash bridge adds net cash and the modal terminal multiple does the rest.

BULL $97.69

+94.2% vs spot

Probability 18%

Retail-media platform; margin inflects.

WHY 18%

The purchase-data ad engine plus enterprise integrations make a genuine advertising re-acceleration credible. ~18% weight on the retail-media inflection landing.

WHAT HAPPENS

Advertising re-accelerates decisively: Instacart becomes a retail-media platform where ~80%-margin ad dollars compound faster than GTV, enterprise tech (Carrot, Caper, ALDI-type partnerships) widens the moat, and operating margin inflects toward ~28% with ex-SBC FCF margin toward ~22%. Revenue compounds ~13% to ~$6.6B.

DCF ~$97.69 (+114%) - if the flywheel converts the GTV base into a durable high-margin ad annuity, the de-rated entry re-rates with the fundamentals; this is the core of the bull.

ULTRA BULL $126.65

+151.7% vs spot

Probability 8%

Ad annuity compounds; FCF machine.

WHY 8%

Everything works - GTV AND ad re-acceleration AND enterprise AND a multiple re-rate, the retail-media-platform outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: advertising scales into a dominant retail-media network, enterprise/Carrot tech becomes a category standard, and the ~80%-margin ad annuity compounds GTV into a true FCF machine at a ~24% ex-SBC margin and ~31% operating margin. The buyback keeps shrinking the float against flat SBC. Revenue compounds ~15% to ~$7.5B.

DCF ~$126.65 (+178%) - the franchise reclaims a platform compounder multiple; ~8% probability, the asymmetric upside the depressed entry is buying.

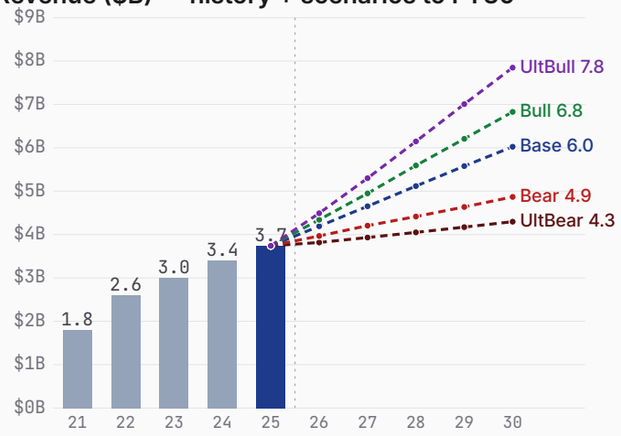
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Instacart (Maplebear) business snapshot

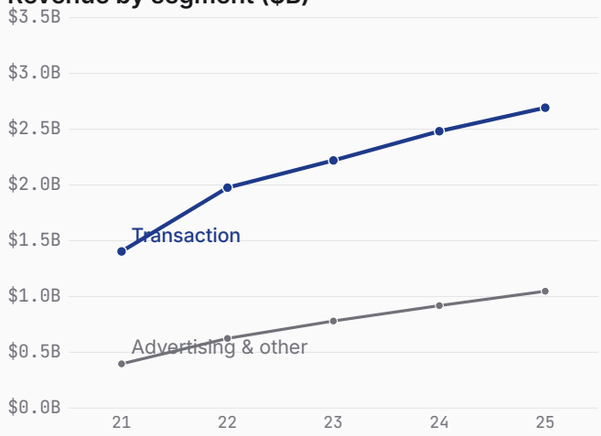
Bear $42.64 Base $64.58 Bull $97.69

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1-2026 (May'26) results

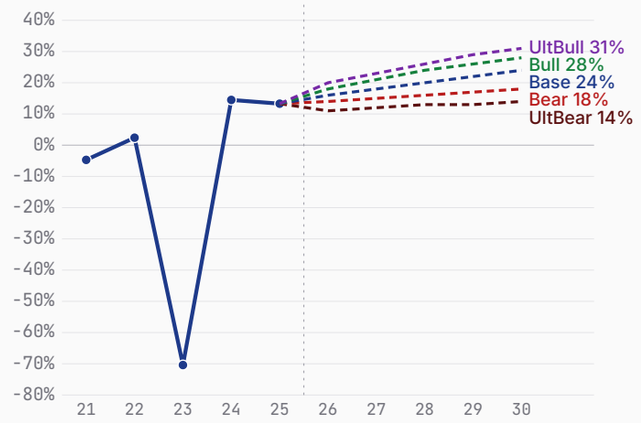
Revenue ($B) — history + scenarios to FY30



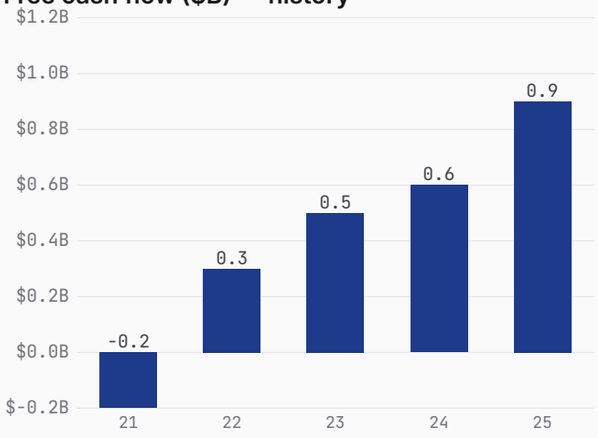
Revenue by segment ($B)



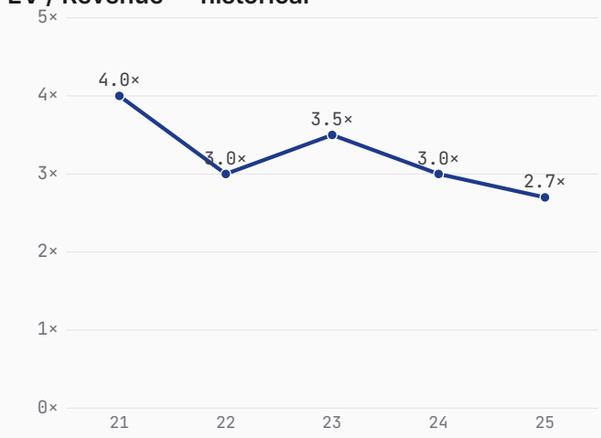
Op margin — history + scenarios



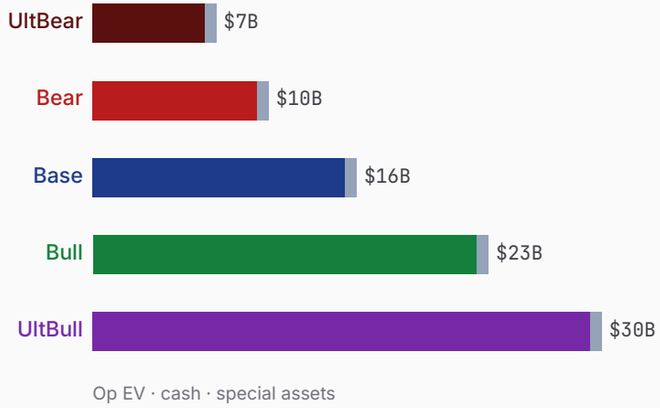
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1579091, Maplebear Inc), Instacart Q1-2026 release (May 6: GTV $10.29B +13% first >$10B, revenue $1.02B +14% with transaction $733M / advertising & other $286M +16%, orders 91M +10%, GAAP op margin 17.9%, FCF $253M, $3.5B buyback). Revenue is a growth path off FY25; FCF = revenue x FCF margin (ex-SBC owner FCF ~15-19%); Gordon terminal. Multiples vs DoorDash/Uber/Amazon/Walmart.

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Instacart (Maplebear) 7 Powers · the moat, scored

Bear $42.64 Base $64.58 Bull $97.69

Arena. Online grocery delivery + retail media - Instacart (category leader, $10B+ GTV, ~80%-margin advertising, enterprise/Carrot tech) vs DoorDash, Uber Eats, Amazon and Walmart; auditing a two-sided network Power and a nascent ad-data cornered resource against a deep-pocketed field and a low take rate.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies ■■■	Largest pure-play grocery-delivery GTV ($10B+/qtr) gives sourcing/logistics density and retail-media reach, but Amazon/Walmart/Uber operate at far greater corporate scale.
Network Economies ◂ thesis leans here ■■■	The dominant Power: a two-sided retailer/shopper marketplace - more retailers and selection pull more consumers, whose orders pull more retailers and brand ad dollars; a genuine, if contestable, flywheel.
Counter-Positioning ■□□	Was the asset-light shopper-network disruptor; now the incumbent the delivery field is attacking, not counter-positioning.
Switching Costs ■■□	Enterprise integrations (Carrot e-commerce, Caper carts) embed Instacart in retailer operations; consumer switching is low, but the B2B tech is sticky.
Branding ■■□	Strong category association ('Instacart' = grocery delivery) but not pricing power; convenience, not brand, drives the order.
Cornered Resource ■■■	A nascent cornered resource: first-party grocery purchase data across the retailer network feeds the ~80%-margin ad engine - the hardest input for rivals to replicate, but early and contestable.
Process Power ■■□	Shopper-routing, fulfilment and ad-targeting systems are real operating know-how; meaningful but not a decisive, hard-to-copy edge.

PEER SET

DoorDash (DASH) 20% gr · 4% mgn · ~33x EV/FCF
Larger logistics network expanding aggressively into grocery + retail media; the primary delivery-field threat to GTV and ad share.

Uber Eats (UBER) 18% gr · 8% mgn · ~14x EV/FCF
Global delivery scale + advertising push; Uber Eats grocery directly contests Instacart's lane.

Amazon 10% gr · 11% mgn · ~30x EV/FCF
Whole Foods + Amazon Fresh + Prime + a dominant retail-media machine; the deepest-pocketed structural threat to both legs.

Walmart 5% gr · 4% mgn · ~30x P/E
Walmart+ delivery + the fastest-growing rival retail-media network (Walmart Connect); scale and grocery primacy pressure the take rate.

THREAT VECTORS · FALSIFIERS

Network Economies · DoorDash / Uber Eats / Amazon / Walmart
falsifier: GTV growth slows and orders keep trailing GTV as the deep-pocketed field pulls shoppers and retailers off the platform.

Cornered Resource · Amazon / Walmart retail media
falsifier: Advertising decelerates into single digits as brand ad dollars flow to larger first-party retail-media networks.

Scale Economies · Grocer DTC + delivery-field take-rate pressure
falsifier: The ~7% take rate compresses as retailers build their own fulfilment or the field undercuts the marketplace cut.

COMPETITIVE READ

Instacart's network Power is genuine - the largest pure-play grocery-delivery GTV ($10B+/qtr) running a two-sided retailer/shopper marketplace that feeds a nascent cornered resource (first-party purchase data → an ~80%-margin ad engine) and is stickied by enterprise integrations (Carrot, Caper). But the field is the deepest-pocketed in retail - DoorDash, Uber, Amazon, Walmart - and the ~7% take rate plus a guided ad deceleration (11-14% vs the 27%/34% era) are the live threats. The Audit: network economies is durable but contestable (medium), the ad-data cornered resource is the real prize if it compounds, and the swing factor is whether high-margin advertising keeps scaling on the GTV base. The DCF tests exactly that - and even the competitive ultra-bear is -35% while the modal flywheel lands +42%, with reported FCF honestly discounted to ~15-19% ex-SBC owner margin and the $3.5B buyback offsetting dilution.

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Instacart (Maplebear) show your work

Bear $42.64 Base $64.58 Bull $97.69 · Weighted $65.05 (+29.3%)

ULTRA BEAR $29.71

ASSUMPTIONS

5y revenue CAGR (%)	+2.8
Year-5 op margin (%)	14.0
WACC (%)	10.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.60B
Starting revenue ($B)	3.74
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.82	+11%	+0.42	+0.38
FY27	3.93	+12%	+0.47	+0.39
FY28	4.05	+13%	+0.53	+0.39
FY29	4.17	+13%	+0.54	+0.36
FY30	4.30	+14%	+0.60	+0.36

Σ PV explicit FCF	**+1.89**
+ PV terminal (g 2.5%)	4.67

EQUITY BUILD · $B & PER SHARE

Operating EV	$6.56B
+ Cash & investments	$0.69B
= Equity value	**$7.25B**
FY30 shares (M)	244
= Expected per share	**$29.71**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$48.95	$80.64	$132.84	$218.85
0.97×	1.60×	2.64×	4.35×

BEAR $42.64

ASSUMPTIONS

5y revenue CAGR (%)	+5.4
Year-5 op margin (%)	18.0
WACC (%)	10.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.78B
Starting revenue ($B)	3.74
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.97	+14%	+0.56	+0.51
FY27	4.20	+15%	+0.63	+0.52
FY28	4.41	+16%	+0.66	+0.50
FY29	4.64	+17%	+0.74	+0.51
FY30	4.87	+18%	+0.78	+0.48

Σ PV explicit FCF	**+2.51**
+ PV terminal (g 3.0%)	7.12

EQUITY BUILD · $B & PER SHARE

Operating EV	$9.63B
+ Cash & investments	$0.69B
= Equity value	**$10.32B**
FY30 shares (M)	242
= Expected per share	**$42.64**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$68.67	$110.60	$178.12	$286.86
1.36×	2.20×	3.54×	5.70×

BASE $64.58

ASSUMPTIONS

5y revenue CAGR (%)	+10.0
Year-5 op margin (%)	24.0
WACC (%)	9.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$1.15B
Starting revenue ($B)	3.74
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.19	+16%	+0.63	+0.57
FY27	4.65	+18%	+0.74	+0.62
FY28	5.12	+20%	+0.87	+0.66
FY29	5.58	+22%	+1.00	+0.70
FY30	6.02	+24%	+1.15	+0.73

Σ PV explicit FCF	**+3.28**
+ PV terminal (g 3.0%)	11.53

EQUITY BUILD · $B & PER SHARE

Operating EV	$14.81B
+ Cash & investments	$0.69B
= Equity value	**$15.50B**
FY30 shares (M)	240
= Expected per share	**$64.58**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$101.66	$160.04	$251.95	$396.63
2.02×	3.18×	5.01×	7.88×

BULL $97.69

ASSUMPTIONS

5y revenue CAGR (%)	+12.8
Year-5 op margin (%)	28.0
WACC (%)	9.0
Terminal growth (%)	3.5
Terminal FCF ($B)	$1.50B
Starting revenue ($B)	3.74
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.34	+18%	+0.74	+0.68
FY27	4.95	+21%	+0.89	+0.75
FY28	5.59	+24%	+1.12	+0.86
FY29	6.21	+26%	+1.30	+0.92
FY30	6.83	+28%	+1.50	+0.98

Σ PV explicit FCF	**+4.19**
+ PV terminal (g 3.5%)	18.37

EQUITY BUILD · $B & PER SHARE

Operating EV	$22.56B
+ Cash & investments	$0.69B
= Equity value	**$23.25B**
FY30 shares (M)	238
= Expected per share	**$97.69**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$150.31	$231.27	$355.83	$547.49
2.99×	4.60×	7.07×	10.88×

ULTRA BULL $126.65

ASSUMPTIONS

5y revenue CAGR (%)	+16.0
Year-5 op margin (%)	31.0
WACC (%)	8.8
Terminal growth (%)	3.5
Terminal FCF ($B)	$1.88B
Starting revenue ($B)	3.74
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.49	+20%	+0.81	+0.74
FY27	5.30	+23%	+1.06	+0.90
FY28	6.15	+26%	+1.35	+1.05
FY29	7.01	+29%	+1.61	+1.15
FY30	7.85	+31%	+1.88	+1.24

Σ PV explicit FCF	**+5.07**
+ PV terminal (g 3.5%)	24.13

EQUITY BUILD · $B & PER SHARE

Operating EV	$29.20B
+ Cash & investments	$0.69B
= Equity value	**$29.89B**
FY30 shares (M)	236
= Expected per share	**$126.65**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$193.09	$294.37	$448.79	$684.20
3.84×	5.85×	8.92×	13.60×

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Instacart (Maplebear) People · Opportunity · Context · Deal

Bear $42.64 Base $64.58 Bull $97.69

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Chris Rogers

0 yrs in seat

60%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
No dividend. Aggressive buyback: authorization expanded to $3.5B (Q1 2026, up from $2.5B); ~9.37M shares retired for ~$402M in Q1 2026, and net share count fell ~280M (Sep-2023 IPO) to ~235M (2026) despite SBC. Bolt-on M&A only (Caper AI smart carts, Eversight, Wynshop). FY2025 GAAP-profitable (Q1 2026 GAAP net income $144M).

Incentive alignment
CEO Rogers 2025 package ~$1.37M base + ~$15M performance-vesting equity. Heavy SBC, now normalized post-IPO and outpaced by buyback: FY2023 $2,756M SBC was a one-time IPO RSU recognition; FY2024 $300M, FY2025 $352M (~3.5% of revenue). IPO equity overhang largely cleared.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class / super-voting / sunset (the pre-IPO multi-class converted at the 2023 IPO)
- combined Chair + CEO since Nov 2025 (Rogers holds both); Lily Sarafan is Lead Independent Director; 9-member board, majority independent
- brand-new CEO: Chris Rogers (eff. Aug 2025, ex-CBO / ex-Apple) succeeded Fidji Simo, who left to be OpenAI CEO of Applications and resigned the board Nov 2025
- founder Apoorva Mehta cut all ties at the Sep-2023 IPO — retains ~8.8% as a passive holder, off the board
- concentrated VC board influence: Sequoia (Gupta, Moritz) and D1 (Sundheim); the ~60% insider-group figure is VC-driven, not management skin-in-the-game

THE FOUR LEGS

People
observable composite · 1–5



Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
+29.3% vs spot $50.31

PEOPLE READ

Clean one-share-one-vote governance and a shareholder-friendly buyback (net share count falling despite SBC), offset by a brand-new combined Chair/CEO (Rogers, sub-1-year tenure) and concentrated VC board influence; founder Mehta is fully gone (~8.8%, passive).

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Instacart (Maplebear) supporting analysis · disclaimers · glossary

Bear $42.64 Base $64.58 Bull $97.69

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~12x FCF for an 80%-margin ad engine on a $10B+ GTV base.**
Net-cash, op margin scaling 12.3→17.9%, advertising +16% - priced like a delivery app, not a retail-media platform; the modal DCF is +42%.

2 **The buyback is worth ~32% of the market cap.**
$3.5B authorized, $349M repurchased in Q1; it offsets SBC dilution so shares stay flat and ex-SBC owner FCF accrues per-share.

3 **Reported FCF flatters the picture.**
~$0.9B reported FCF includes a heavy SBC add-back (~$93M/qtr); the base models ex-SBC owner FCF at ~15-19%, not the headline ~12x.

4 **Advertising is the whole thesis - and it is decelerating.**
~80%-margin ad revenue grew +16% in Q1 but is guided to 11-14%; whether it re-accelerates on the GTV base is the bull/bear fork.

5 **Cornered purchase data feeds the ad engine.**
First-party grocery purchase data across the retailer network is the hardest input for the delivery field to replicate - a nascent cornered resource.

FALSIFICATION TRIGGERS

Bull validation

advertising re-accelerates above the 11-14% guide · ad revenue compounds faster than GTV · GAAP op margin holds >=18% · enterprise (Carrot/Caper) wins named retailers · buyback keeps shares flat-to-down

Bear validation

advertising decelerates into single digits · the ~7% take rate compresses · orders keep trailing GTV (frequency stalls) · GTV growth slows as DoorDash/Amazon/Walmart take share · op margin stalls in the low-teens

Reframe needed

if advertising growth converges to GTV growth (no high-margin premium) or the take rate erodes structurally, the flywheel is gone - re-rate the terminal toward a low-margin, contested delivery marketplace multiple

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GTV — Gross transaction value - total spend across the platform (groceries + fees + tips), $10.29B in Q1 (+13%, first >$10B); the base the ~7% take rate and ad engine monetize.

Take rate — Transaction revenue / GTV (~7.1%); structurally low for grocery delivery and a key bear lever - the marketplace's cut of each order before advertising.

Advertising & other — High-margin (~80%) retail-media revenue ($286M in Q1, +16%) from brands paying for placement against purchase data - the flywheel and swing factor; guided to decelerate to 11-14%.

Enterprise (Carrot / Caper) — Instacart's technology sold to retailers - the Carrot e-commerce stack and Caper AI smart carts - extending the platform beyond delivery and feeding the data/ad engine; the switching-cost lever.

FCF margin — Free cash flow / revenue; the mature-DCF swing factor - the base models ex-SBC owner FCF (~15-19%), below the ~24% reported, with the $3.5B buyback offsetting SBC dilution.